



The Process and Resource Management division is one of Nissan's greatest assets. They are sometimes perceived as too rigid, and it is true that the division has established quite a number of rules. However, I easily imagine what can happen to a company without rules. The point, really, is to keep the structure and provide some freedom when needed. The core creative divisions can add great value to a process, such as when they interact with the advanced engineering team. When the creative people are happy with what they have developed, however, someone has to support the complex process of creating added value. That responsibility belongs to the Process and Resource Management division. Otherwise, a nicely crafted process may never be implemented. But at Nissan, employees in the Process and Resource Management division serve as the guardians of the timelines and support the implementation of processes. If a process is not working as we planned, they get the project back on track in a smooth and efficient manner. If a process is no longer relevant, they quickly organize a taskforce to update it.

So Corporate Planning provides the direction, Design and Product Planning create products with value, and Market Intelligence and Process and Resource Management support the creative teams. Someone has to drive the implementation, and that role belongs to our six program directors in Program Management. The program directors are involved from the beginning. They are businesspeople, the CEOs of their own platform businesses. Each has a different part of the vehicle lineup, but the substance of their mutual targets and commitments is simple: profit. Program directors make it happen. They ensure that everybody in the Company keeps each project consistently profitable through

all phases: planning, development and launch, right through to the end of the lifecycle. Our program directors are persuasive people with strong characters, special skills and attributes, and they are not afraid to challenge the system. Their diversity contributes tremendously to Nissan's success. The cumulative work of all these divisions results in a very consistent organization with an upstream process that creates value.

Looking at Nissan's global output over the last six years, it is clear that some terrific products have been created, and the value of the Company as a whole is greater. There are many scorecards that reflect this, and our stakeholders certainly know Nissan's success first-hand. At the same time, we must prepare for the future. We need to reinforce the strength of our program management groups and establish more precise, accurate groups to standardize and improve processes for the future. Ironically, our achievements have created uncertainty for the future. Success creates risk, and the more we highlight our successes, the more we raise the anxiety level of investors. How can our new products be as good as those already released? How can we keep it all going?

One way to sustain our strong pace is to take greater advantage of the Alliance. The value is there, in areas such as purchasing, development, benchmarking, sales networks, market knowledge and even financial strategy. Yet we must maintain both a balance and a clear separation between the brand identities of Renault and Nissan. Neither company wants to make the same cars, or have the same corporate culture, or have its brand mistaken for the other. We will continue to derive benefits from this strategic partnership while remaining Nissan.

Nre Global Product Launches

	NISSAN 180	NISSAN Value-Up
New Products	31	28
Start of Production	44	70

28 All-New Models

10 New Conquest Models	10
18 Replacement Models	18
	28